

FLEX SELECT

PRIMARY				
Min Credit Score	Max Loan Amount	Max LTV / CLTV Purchase / Rate & Term	Max LTV / CLTV Cash-Out Refinance	Property Type
760	2,000,000	90	80	Single Family, PUD, Manufactured Housing, Condominiums (Warrantable and non- Warrantable), Condotels Co-ops and 2-4 Units <i>See restrictions under General Requirements below</i>
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
740	2,000,000	90	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
720	2,000,000	90	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
700	1,500,000	85	80	
	2,000,000	80	75	
	2,500,000	80	70	
	3,500,000	75	70	
680	1,500,000	80	75	
	2,000,000	80	75	
	2,500,000	75	70	
	3,000,000	70	65	
660	1,000,000	80	70	
	1,500,000	75	65	
	2,500,000	70	60	
SECOND HOME				
Min Credit Score	Max Loan Amount	Max LTV / CLTV Purchase / Rate & Term	Max LTV / CLTV Cash-Out Refinance	Property Type
760	2,000,000	85	80	Single Family, PUD, Manufactured Housing, Condominiums (Warrantable and Non- Warrantable), Co-ops, Condotels <i>See restrictions under General Requirements below</i>
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
740	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
720	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
700	1,500,000	80	80	
	2,000,000	80	75	
	2,500,000	80	70	
	3,500,000	75	70	
680	1,500,000	75	70	
	2,000,000	75	70	
	2,500,000	70	65	
	3,000,000	65	60	
660	1,000,000	75	65	
	1,500,000	70	60	
	2,500,000	65	55	

INVESTMENT PROPERTY				
Min Credit Score	Max Loan Amount	Max LTV Purchase / Rate & Term	Max LTV Cash-Out Refinance	Property Type
760	1,500,000	85	80	Single Family, PUD, Condominiums (Warrantable and non- Warrantable), Co-ops, Condotels and 2-4 Units See restrictions under General Requirements below
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
740	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
720	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
700	1,500,000	80	80	
	2,000,000	80	75	
	2,500,000	80	70	
	3,500,000	75	70	
680	1,500,000	75	70	
	2,000,000	75	70	
	2,500,000	70	65	
	3,000,000	65	60	
660	1,000,000	75	65	
	1,500,000	70	60	
	2,500,000	65	55	
Housing History and Housing Event Seasoning Restrictions Ch.13: use filing date if discharged; use dismissal date if dismissed.				
Housing History	1x30x12	2 x 30 x 12	0x60x12	0x90x12 O/O Only
BK/FC/SS/DIL/Mod:	>=48 Mo	>= 36 Mo	>= 24 Mo	>= 12 Mo
Max LTV/CLTV:	90	80	70	65
Max LTV Cash-out	80	75	70	NA
Max Loan Amt:	3,500,000	3,000,000	2,000,000	2,000,000
Geographic Restrictions				
- FL: Foreign Nationals and Non-Permanent Resident Aliens from the Republic of China are ineligible. - HI: Wholesale – Ineligible, Does not apply to Correspondents. - IL: Ineligible only for TRID Loans located in Cook, Kane, Peoria and Will Counties, IL - Restriction does not apply to Correspondents. - MD: All Row Homes located in Baltimore City are ineligible. - NY: - No 5/6 ARMs on OO loans below the FNMA loan limit. - See NY Subprime section for requirements. - Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).				
General Requirements				
Product Type	40-Yr Fixed, 30-Yr Fixed, 15-Yr Fixed 40-Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing). 5/6 SOFR ARM, 30-Yr Term – Fully Amortizing 5/6 SOFR ARM I/O, 30-Yr Term and 40-Yr Term 40 year products and terms are not permitted for Manufactured Housing			

	• I/O products are not available for Express (DU)	
Interest Only	• Min Credit Score: 680 • Max LTV: 80% • Max DTI 50%	
Loan Amounts	• Min: \$125,000 and Max 3,500,000 • Loan Amounts \$125,000 - \$149,999 require a 5% reduction in LTV.	
Max DTI	• Max 50% DTI. Will consider up to 55% with restrictions (See Underwriting Requirements below).	
Occupancy	• Primary, Second Home; and Investment Property (Business Purpose)	
Loan Purpose	• Purchase, Rate/Term and Cash Out	
2- 1 Buydown	• Purchase Only • Minimum Score 680 • Max LTV 80% • Max DTI 50% • 30 Year Fixed Only • Qualify using Note Rate • O/O, 2nd Home and Investment Properties. • Seller or Builder Funded Only • Lender Paid or 3rd Party Buydowns are permitted for Correspondent Clients only.	
Cash Out	• Minimum of six (6) months seasoning from most recent transaction. See guidelines for details. • Max cash-out (defined as cash in hand): ◦ If LTV <= 60% = Unlimited ◦ If LTV > 60% = Max \$1,000,000 or unlimited with 18 months reserves exclusive of cash back. • Condos: Max 75% LTV	
Rate & Term	• Max cash back is the lesser of \$5,000 or 2% of the loan amount.	
Borrower Eligibility	• US Citizens • Permanent Resident Alien • Non-Permanent Resident Alien (US Credit Only)	Ineligible: • ITINs • Foreign Nationals • DACA (Refer to Select ITIN Program)
Non-Occupant Co-Borrower	• Primary Occupancy Only • No Cash-out Refi • Rate & Term Refi (non-occupant must be on current loan) • Max DTI Total DTI 50% (Max 65% DTI for Occupying Borrower) • Non-occupant must be a relative • Max Loan Amount \$1,000,000	
First Time Homebuyer	• Permitted to a maximum loan size of \$1.5M on O/O, SH and NOO.	
Property Types	Single Family, PUD or Townhouse LTV Limits	• SFR with 1 or more ADUs are permitted if subject property is in a municipality that allows. The Appraiser must specifically confirm compliance with local regulations. See 2-4 Units below.
	Condos LTV Limits	• Condos – Warrantable / Non-Warrantable ◦ Purchase & Rate/Term: Max 85% LTV ◦ Cash-out: 75% LTV - Limited Review Established Condos Outside of Florida (Warrantable) LTV/CLTV Limits: ◦ Primary 85%, SH 75%; and NOO 75% - Limited Review Established Condos in Florida (Warrantable) LTV/CLTV Limits: ◦ Primary 75%/90%; SH 70%/75%; and NOO: 70%/75%
	2-4 Units	• Lower of Matrix LTV or max 85% LTV • 2-4 units with 1 ADU are permitted if subject property is in a municipality that allows. The Appraiser must specifically confirm compliance with local regulations.
	Co-ops	• Co-ops: Eligible for the Delegated-Correspondent Channel ONLY • Correspondent Clients must use its own Closing Plan Codes). ◦ Available in New York City - 5 Boroughs ONLY: Bronx, Brooklyn, Manhattan, Queens & Staten Island. ◦ Max 80% LTV.
	Manufactured Housing	• Manufactured Housing – Eligible for the Delegated-Correspondent Channel ONLY • Correspondent Clients must use its own Closing Plan Codes): ◦ Min 20' wide (Double-wide), min 750+ sq ft, must meet "HUD Code" including: be built on a perm chassis, installed on a perm foundation, and title as real estate (Refer

		- to the Guidelines for additional requirements). ○ Eligible Transactions: Cash-Out not permitted, OO/SH only, min FICO 680, Max 80% LTV. ○ May not be older than 15 years old or if in need of repairs (as per the appraisal) of more than 5% of the property value. ○ NOO and Interest Only loans are not permitted.
	Condotel	Primary Residence: Purchase or Rate/Term: • Lesser of Matrix LTV or Max 85% LTV Cash-Out: • Lesser of Matrix LTV or Max 75% 2nd Home & NOO Purchase or Rate/Term: • 700+ lesser of Matrix LTV or Max 75%LTV • 680-699 lesser of Matrix LTV or Max 70% LTV Cash Out: • 700+ lesser of Matrix LTV or Max 65% LTV • 680-699 lesser of Matrix LTV or Max 60% LTV • Must have a full kitchen & 1 separate bedroom. • Must be in a resort area or affiliated with a national hotel chain. • Max Loan Amount \$1,500,000 • Max cash-out \$250,000
Rural Property		• Permitted with restrictions per Guidelines.
Appraisals	• 2nd Appraisal required for loans > \$2,000,000. • Appraisal Review Product to be ordered on all loans with an SSR over 2.5, with the exception of those with a full second appraisal. - Permanent Reside	
Declining Markets	• As identified by the appraiser, require a 5% LTV reduction off the above matrix when > 65% LTV.	
Acreage	• Max 20 Acres Owner Occupied & Second Home; Max 5 Acres Investment Properties	
Full Doc - Income Requirements		
Wage/Salary	• 1 or 2 years Paystubs, W-2 or e-VOE, tax transcripts or IRS Form 4506-C	
Self-Employment	• 1 or 2 years of Personal and Business Tax Returns, YTD P&L, IRS Form 4506-C, 2 months of most recent bank statements • Self-employment history of >=2 years is required. See Guidelines for acceptable scenarios when self-employment history is < 2 years.	
Alt Doc - Income Requirements		
Personal Bank Statements	• 24- or 12-months of Personal and 2-months of business bank statements. • Qualifying income is determined by the total eligible deposits from the 24 or 12-months of personal statements divided by the number of statements. • The business bank statements must reflect business activity and transfers to the personal account.	
Business/Co-Mingled Bank Statements:	• 24- or 12-months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: ○ Fixed Expense Ratio (50%); OR ○ Expense ratio provided by a 3rd party (CPA or EA) min ratio of 10%, OR ○ 3rd party prepared Profit & Loss Statement (CPA or EA).	
P&L and 2 Months Bank Statements	• 24 or 12-month P&L, prepared by CPA or EA or PTIN licensed Tax Preparer. • Minimum of 2-months business bank statements • Max 80% LTV	
P&L Only	• Max Loan Amount \$1,500,000 • 700+ Score required : Max LTV is the lesser of the LTV on the Matrix or 80% OO; 75% SH & NOO. • 24- or 12-month P&L; prepared by CPA/EA or PTIN Tax Preparer. CPA/EA/PTIN Tax Preparer must also attest to having prepared the borrower's most recent tax returns. Verbal verification of P&L is required prior to closing. • Not permitted with Express (DU) or for licensed professionals with a business in existence for one year. • Qualifying income is the monthly net income from the P&L divided by the number of months covered by the P&L. Depreciation, depletion and amortization/casualty losses listed on the P&L may be added back to the applicant's income.	

IRS Form 1099	• 2-Years or 1-Year 1099 • Fixed Expense Ratio of 10%	• YTD Documentation to support continued receipt of income from same source, is required only when the most recent 1099 is >90 days from the note date.
Tip Income	Sample target borrower: restaurant server, bartender, cabdriver, etc. • Must have a history of receipt of at least one full year without gaps in employment. • WVOE with 2+ Months Bank Statements with 680 score to 80% LTV • May not be employed by a family member or related individuals.	
WVOE	• WVOE – FNMA 1005 completed with the past 2 years of income/employment. Form must be completed by Human Resources, Payroll, or an Officer of the Company. • Two (2) most recent months of bank statements supporting at least 65% of the gross wages reflected in the WVOE. • Verification of delivery and receipt of the FNMA Form 1005 required (see guidelines for requirements). • One-year history with the same employer with a minimum of two (2) years in the same line of work. • One-year 0x30 housing history is required; borrowers without a housing history are not permitted. • Borrowers may not be employed by family members or related individuals. • W2s, Tax Returns, Paystubs, 4506-C are not required. • Borrowers can have no other active source of income; passive income such as rental income may be included. • Minimum credit score 680; OO Max 80% LTV; SH and NOO Max 75% LTV. • Maximum loan amount \$1,500,000	
Asset Utilization	• OPTION 1: DEBT RATIO CALCULATION in addition to any other income type ○ When the DTI without asset utilization is $\leq 60\%$, follow the below calculation when determining the amount of income to use as secondary income from assets. The income calculation is as follows: ▪ Monthly Income = Net Qualified Assets / 36 Months • OPTION 2: Debt Ratio CALCULATION ASSET CALCULATION ○ When the DTI without asset utilization is $> 60\%$ or when the borrower’s entire income is comprised of income from assets, the monthly income calculation is as follows: ▪ Monthly Income = Net Qualified Assets / 60 Months • Qualified Assets must sourced and seasoned for 3 months. • Purchase/Rate & Term: > 85%LTV – permitted per the matrix provided the DTI is $\leq 60\%$ without using assets for income.	
Underwriting Requirements		
DTI Requirements	• Max 50% • 40 Yr Fixed Must Qualify as a 30-Yr at $\leq 55\%$ DTI. • 55% DTI (>50% to 55%) with the following restrictions: ○ Min FICO 680 ○ Max 80% LTV ○ 0x30x12 ○ Interest-Only is not permitted ○ Max loan amount \$2.5M ○ 40-yr term not permitted. ○ 48 months since a housing event ○ 2-1 Temporary Buydowns are not permitted. ○ Minimum monthly residual income of \$3,500 is required.	
Credit Score	• Representative Score: Middle of 3 scores or lower of 2 for Primary Income Earner. • Additional borrowers must have a minimum score of 540.	
Tradelines	• Primary wage earner has 3 scores: or • 2 open and reporting 24 months; or • 3 open and reporting 12 months; or • 24-months mortgage rating reporting on credit	

Reserves	• <= \$500,000 = 3 months PITIA w/LTV <= 80% • <= \$500,000 = 6 months PITIA w/LTV > 80% • > \$500,000 to \$1,500,000 = 6 months PITIA • > \$1,500,000 to \$2,500,000 = 9 months PITIA • > \$2,500,000 to \$3,500,000 = 12 months PITIA • Cash-out proceeds may be used to satisfy reserves. • When Asset Utilization is the sole source of income, reserves are not required.
Gift Funds	Gift funds permitted provided borrower meets minimum contribution: • 5% primary • 10% second home and investment properties • Gift Funds may be used for down payment and closing cost, up to 100%, for OO and SH to 80% LTV. • Gift funds may only be used for down payment and closing costs for NOO after meeting the minimum 10% contribution regardless of LTV. • Gift funds are not permitted to be used towards reserves.
Assets	• 30-day asset verification required • Deposits > 50% of gross income must be documented on purchases
Subordinate Financing	• Permitted on Owner Occupied and Second Homes. See the Flex NonQM Underwriting Guidelines.
Residual OO and 2nd Homes only	• Defined as Gross Monthly Income less Total Monthly Obligations. • Requirement based on # in household. • Applies to HPML loans or when the DTI > 43% on OO and 2nd homes only: • 1 person = \$1,500 • 2 persons = \$2,500 • Add \$150 per additional household member (related or unrelated)
Escrow Waivers	Waiving escrows for taxes and insurance* is allowed on non-HPML loans and for the following product types if housing/rental history is 0x30x12: • O/O, 2nd Homes and Business Purpose Loans (non-TRID) , 660 minimum score: up to 80% LTV. • California: 700 minimum score: up to 90% LTV • May not waive escrow for flood insurance premiums for properties located in zones A or V. Note*: Elective flood insurance policies for properties not located within a flood map/zone which do not require flood insurance coverage, are not required to be escrowed.
Age of Documentation	• Credit - 120 days • Income and Assets - 90 days
Prepayment Penalty	• Required on Investment Properties when permitted. See the "Business Purpose Licensing & PPP Restrictions" PDF in the Documents Tab in the Client Portal. • No PPP – Correspondent Only
Interested Party Contributions	• Primary and 2nd Homes: ○ <= 75% LTV = 9% ○ > 75% = 6% • Investment: ALL = 6%
Express (DU) Follow standard guidelines where silent in this section.	
Underwriting Method	• DU Approve Eligible and Approve/Ineligible • Ineligibility only due to loan size or feature, such as I/O. FTHB Max Loan Amount \$1,500,000
Income	• Max DTI: 50% • Follow program documentation requirements. • Follow program DTI restrictions. • Transcripts required for the number of years of income used to qualify on Full Doc loans. • P&L Only; and One Year Self Employment option for licensed professionals are not eligible for DU.
Credit	• Follow AUS except for housing history must be 0x30x12 and no extenuating circumstances for BK/Housing event

Non-Occupant Co-Borrower	In addition to the Requirements above, Ratios for the Occupying Borrower and Non-Occupant Co-Borrower may be blended. All income may come from the Non-occupant co-borrower.
Housing History	0x30x12 - DU may waive the requirements for a rental history on certain DU casefiles, documentation is still required to support a 0x30x12 history. It is permissible to allow the waiver of cancelled checks for private party VORs when permitted per DU.
LTV/Score Eligibility	740-759 scores are ineligible for loans with LTV > 85% ; follow standard program requirements.
Reserves	- LTVs > 85% (See LTV/Score Eligibility section above): - Up to \$1.5M with 760+ Score = 6 months PITIA - LTV <= 85%: - Loans <= \$2,000,000 follow DU Findings - Loans > \$2,000,000 must meet product reserve requirements.
Appraisal	Reduced Condo Reviews are not permitted. Appraisal waivers (PIW) are not permitted.